

Week 3 Handbook Page: Trust & AI Safety for Teamwear Wholesalers

1. Problem Analysis: Risk & Failure Modes in SME AI Adoption

Mid-sized sports/teamwear wholesalers manage high **SKU** complexity (sizes, colors, club badges) and intense seasonal order spikes. Adopting AI introduces three core operational risks:

- **Model Drift in Reorder Calculations:** Generic models fail to track league registration dates. Uncalibrated reorder tools miscalculate bulk size-runs, causing severe **stockouts** or costly **overstock**.
- **Shadow AI & IP Leakage:** Staff pasting client lists or margin data into public GenAI tools triggers direct **GDPR** non-compliance and leaks proprietary pricing.
- **Vendor Lock-in & Compliance:** Small IT teams require solutions guaranteeing **EU data residency** to prevent costly proprietary cloud locks.

Data Boundary Rule: All raw sales history, **ERP** tables, and interview recordings must undergo local **PII** anonymization on-premise before processing via external APIs.

2. Framework: The 3 Maturity Tiers of AI Safety

To manage operational risk and avoid pilot paralysis, safety mechanisms are structured across **three maturity tiers**:

Maturity Tier	Safety & Governance Mechanism	Wholesaler Operational Use Case
Tier 1: Off-the-Shelf	Usage Policies & Prompt Guardrails	System prompts blocking public LLMs from answering client queries without verified stock data.
Tier 2: Workflow Automation	Local Scrubbing & Human-in-the-Loop	Local CLI scripts stripping client PII and ERP metrics prior to API calls; human approval for bulk orders.
Tier 3: Predictive Operations	Automated Fallbacks & Failure Hooks	Validation checks flagging AI confidence <85%, automatically defaulting execution to historical ERP averages.

3. Business Impact & Operational KPIs

Implementing structured AI safety directly protects core **SME business metrics**:

- **Cut-to-Ship Time:** Local automated data scrubbing eliminates manual compliance delays, accelerating order processing.
- **Scrap & Overstock Rate:** Automated confidence thresholds stop over-ordering slow-moving size-runs, cutting dead inventory and fabric waste.
- **Order Accuracy (SLA):** Human-in-the-loop review ensures custom club printing and badge specs maintain a high accuracy rate.

4. Quick-Start Action Sheet: Operational Safety Guide

(1-Page Standalone Operational Guide for SME Managers)

Quick-Start Action Sheet: Trust & AI Safety

Target Audience: Wholesaler Operations Managers & IT Leads

1. Immediate Audit (Day 1):

- Map staff usage of public LLMs.
- Issue a 1-page policy blocking unanonymized ERP uploads.

2. Local Anonymization (Week 1):

- Deploy local scripts to strip PII and margin metrics prior to API processing.

3. Confidence Thresholds (Week 2):

- Enforce an 85% confidence floor on AI demand forecasts; route lower scores to manual review.

4. Vendor Rules & Fallbacks (Week 3):

- Require EU data residency from AI vendors and verify

